STREAM®

The Quarter

INDUSTRIAL MARKET REPORT



Q1 2026 | CHICAGO

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MEET THE TEAM

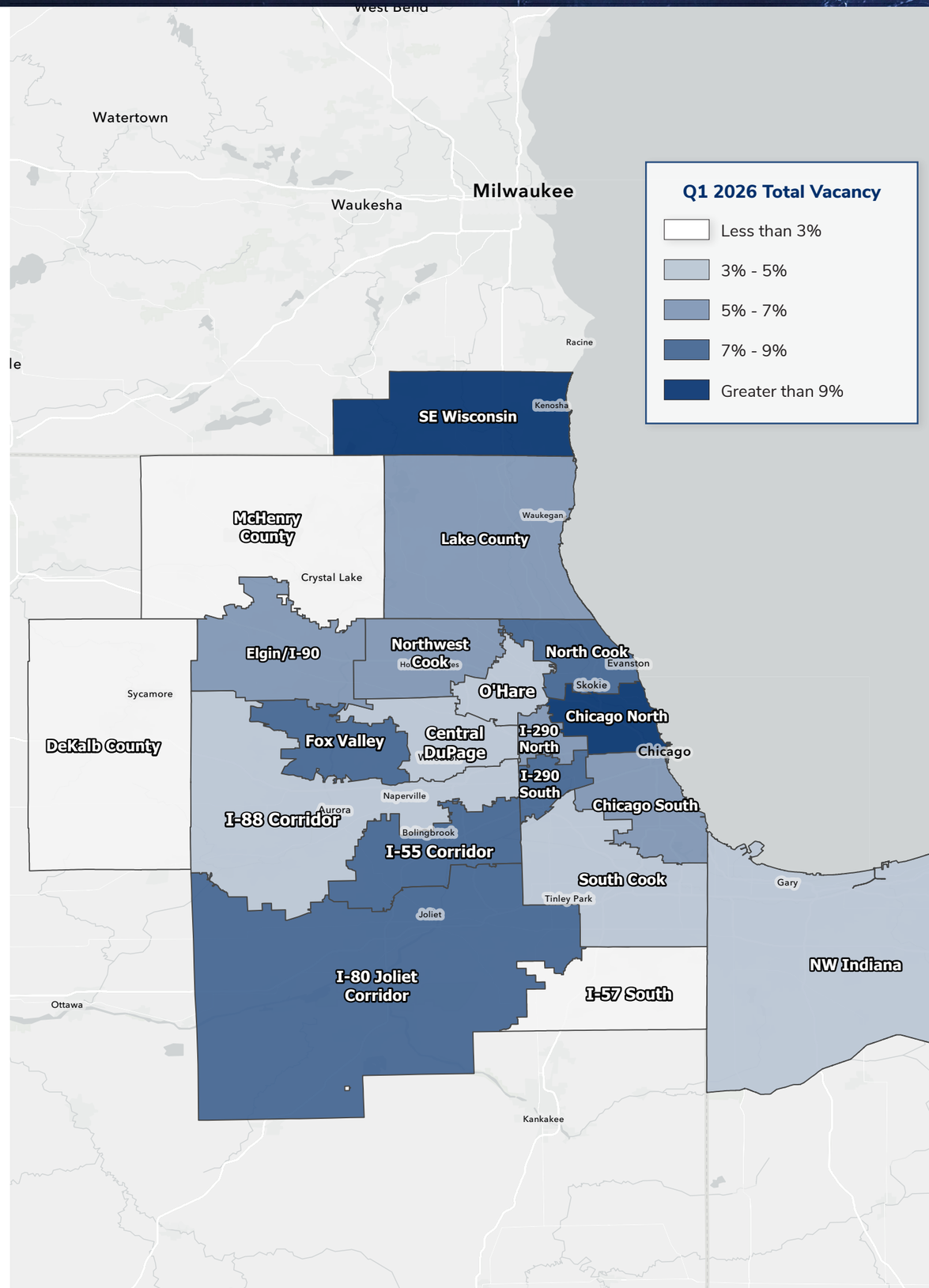
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Market Summary

5.8%	839,320	15.04M	$X
OVERALL VACANCY RATE	NET ABSORPTION (SF)	UNDER CONSTRUCTION (SF)	OVERALL ASKING LEASE RATES (FSG)

Market Trends

- Chicago industrial vacancy stood at 5.77% in Q1 2026, improving slightly from 5.84% in Q4 2025, reflecting modest quarter-over-quarter tightening across the market despite slower leasing velocity.
- On a year-over-year basis, the vacancy rate also declined, falling from 6.2% in Q1 2025 to 5.8% in Q1 2026, indicating a gradual rebalancing of supply and demand across the Chicago industrial market.
- Net absorption remained positive but uneven across the market in Q1 2026, totaling 839,230 SF, with strong activity concentrated in Southeast Wisconsin and Northwest Indiana submarkets.
- The development pipeline remains robust with 58 projects under construction exceeding 15 million SF, reinforcing sustained long-term confidence in the region's logistics and industrial fundamentals. The average building size under construction is 259,316 SF.
- Eight new facilities across Chicagoland completed construction, bringing 2.3 million SF of new supply to five submarkets. Of these developments, 69% of the new supply delivered were built on a speculative basis.



Leasing Activity

Tenant demand drove solid leasing activity across the industrial market, totaling 15.2 million SF during the quarter, driven largely by new leasing, which accounted for more than half of all activity with 7.7 million SF. The I-80 Joliet Corridor led all submarkets by a wide margin, posting 5.3 million SF of total leasing, fueled by several of the quarter's largest transactions, including General Mills' 1.5 million SF renewal, Hyundai Translead's 1.4 million SF new lease, and Saddle Creek Logistics' 1.1 million SF renewal. Additionally, I-55 Corridor posted strong results as well with 2.2 million SF leased, supported by significant new leases such as RJW Logistics pre-lease of 788,000 SF new construction in Plainfield and Elogistek signing 648,960 SF of new space in Romeoville.

Leasing was notably concentrated in large format transactions, with multiple deals exceeding 500,000 SF, and continued strength from logistics, food, and e commerce users. Overall, the quarter was characterized by strong big box activity, elevated new lease velocity, and sustained tenant interest across both emerging development corridors and established infill submarkets—reinforcing the depth of demand throughout the Chicago industrial market.

Key Lease Transactions

General Mills

Address: 30131 Ridgeway Blvd, Wilmington
Submarket: I-80 Joliet Corridor
SF Leased: 1,508,425
Lease Type: Renewal

Hyundai

Address: 2200-2600 Channahon Rd, Joliet
Submarket: I-80 Joliet Corridor
SF Leased: 1,380,070
Lease Type: New Lease

Saddle Creek Logistics

Address: 2550 Logistics Dr, Elwood
Submarket: I-80 Joliet Corridor
SF Leased: 1,114,575
Lease Type: Renewal

Crane Worldwide Logistics

Address: 9130 W 55th St, McCook
Submarket: I-290 South
SF Leased: 992,151
Lease Type: New Lease

RJW Logistics

Address: 26220 W 143rd St, Plainfield
Submarket: I-55 Corridor
SF Leased: 788,000
Lease Type: New Lease

Amazon

Address: 201 Emerald Rd, Joliet
Submarket: I-80 Joliet Corridor
SF Leased: 746,801
Lease Type: Renewal

Elogistek

Address: 160 Southcreek Pky, Romeoville
Submarket: I-55 Corridor
SF Leased: 648,960
Lease Type: New Lease

LG Electronics

Address: 14746 S Gougar Rd, Lockport
Submarket: I-80 JolietCorridor
SF Leased: 363,224
Lease Type: Renewal

Learjet

Address: 251 Wille Rd, Des Plaines
Submarket: OHare
SF Leased: 333,988
Lease Type: Renewal

Average Starting Rent vs. Deal Size

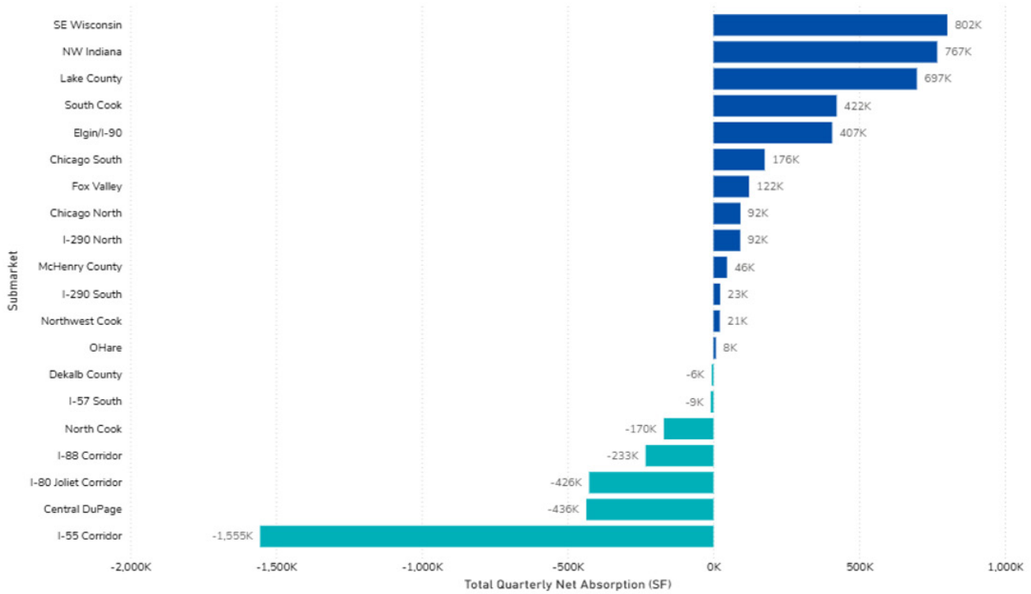


Net Absorption

Chicago's industrial market recorded 839,230 SF of positive net absorption in Q1 2026, led by SiteOne Landscape's 417,384 SF move-in at 11590 80th Ave in Pleasant Prairie, the largest occupancy of the quarter. The Southeast Wisconsin submarket posted the strongest performance overall, accounting for 801,771 SF of net absorption, while ten separate occupancies exceeding 100,000 SF each were completed highlighting ongoing activity among big-box tenants.

The largest vacancy of the quarter took place at Carlow Corporate Center in Bolingbrook as Ferrara Candy vacated the 997,802 SF manufacturing facility, which significantly weighed on the I-55 corridor, driving a sharp decline in net absorption within the submarket. Four new speculative properties delivered vacant in I-80 Joliet Corridor, I-55 Corridor and the O'Hare submarkets, reporting 1.6 million SF of negative net absorption.

Quarterly Breakdown by Submarket



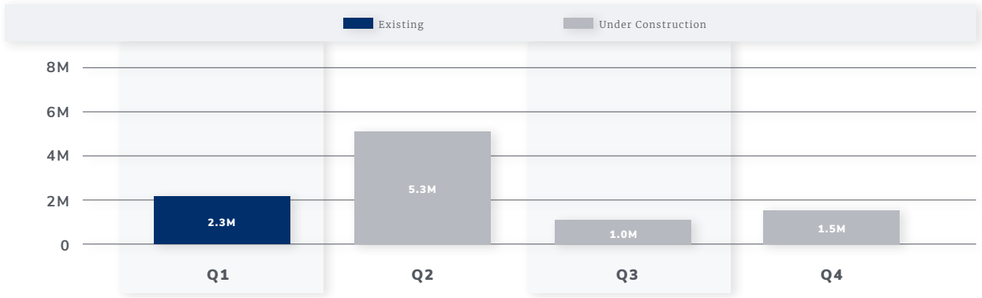
Construction Activity

Construction remains elevated in Chicago, with more than 15 million SF underway in Q1 2026, led by large pipelines in the I-55 Corridor, NW Indiana and the I-80 Joliet Corridor, underscoring continued developer confidence in logistics-oriented corridors. However, construction activity is not uniform across the region, as only four submarkets — DeKalb County, I-290 North, I-290 South and Lake County — reported no activity, highlighting a widening divide between high-growth development hubs and more supply-constrained infill markets. A total of 7.6 million SF is pre-leased, accounting for 51% of the development pipeline as 34 properties remain available. In the first quarter, 16 new projects broke ground, adding 4.7 million SF of new developments to the pipeline. Three developments exceed one million SF, including 26351 W. 143rd St in Plainfield (1.2 MSF), the John Deere facility at 2105 W. 181st Ave in Lowell (1.2 MSF) and CJ Logistics' facility at 21012 W. Mississippi St (1.1 MSF) in Elwood.

Speculative development is dominating the pipeline, with 8.7 million SF underway, outpacing build-to-suit construction totaling 6.3 million SF, underscoring developers' continued confidence in tenant demand despite a more selective leasing environment.

Four new speculative and four build-to-suit facilities reached completion reporting 2.3 million SF of new supply to the Chicago market. Northern Builders delivered the largest project located at 21533 S. Cherry Hill Road in Joliet at 802,440 SF.

Under Construction by Building Size



Delivery Schedule



Market Statistics by Submarket

Submarket	Inventory	Direct Vacancy (%)	Sublease Vacancy (%)	Total Vacancy (%)	Total Quarterly Net Absorption (SF)	Under Construction (SF)	CY Deliveries (SF)	Total Leasing Activity
Central DuPage	72,650,330	3.09%	0.17%	3.26%	-436,044	249,100	0	564,424
Chicago North	40,300,187	10.56%	0.50%	11.06%	92,280	67,593	0	59,420
Chicago South	130,685,928	5.04%	0.41%	5.45%	175,614	1,302,350	0	607,392
Dekalb County	17,005,500	2.41%	0.00%	2.41%	-6,270	0	0	0
Elgin/I-90	43,121,956	5.41%	0.35%	5.76%	406,673	466,269	0	924,173
Fox Valley	41,306,394	6.50%	0.91%	7.41%	121,849	1,242,905	0	628,450
I-290 North	55,395,374	5.71%	0.57%	6.27%	91,526	0	0	359,662
I-290 South	22,293,509	8.23%	0.00%	8.23%	22,563	0	0	1,393,488
I-55 Corridor	104,917,252	6.35%	1.11%	7.46%	-1,554,584	3,194,325	715,695	2,186,253
I-57 South	20,106,694	0.32%	0.00%	0.32%	-9,102	1,070,123	0	0
I-80 Joliet Corridor	119,024,168	6.76%	0.33%	7.09%	-426,383	2,170,566	829,440	5,312,818
I-88 Corridor	74,726,433	3.32%	0.32%	3.64%	-232,738	394,077	0	313,000
Lake County	77,649,594	5.39%	0.13%	5.52%	697,363	0	0	540,278
McHenry County	26,325,620	1.90%	0.00%	1.90%	46,222	76,200	0	35,005
North Cook	44,779,084	6.48%	0.66%	7.14%	-170,343	82,125	351,520	246,118
Northwest Cook	29,706,917	5.66%	0.58%	6.23%	21,466	451,036	0	40,213
NW Indiana	53,173,739	2.88%	0.28%	3.16%	766,934	2,526,830	322,600	89,540
OHare	91,283,208	3.87%	1.01%	4.88%	8,155	1,167,176	122,470	1,460,589
SE Wisconsin	51,004,566	9.02%	0.26%	9.28%	801,771	237,788	0	315,205
South Cook	65,157,349	4.79%	0.07%	4.86%	422,278	341,887	0	125,000
Total	**1,180,613,802**	**5.32%**	**0.45%**	**5.77%**	**839,230**	**15,040,350**	**2,341,725**	**15,201,028**

This report is for informational purposes only and is based on data compiled by the Chicago Industrial research team. The analysis includes competitive, functioning industrial and flex properties of 25,000 square feet and above across the City of Chicago, surrounding suburbs, Northwest Indiana, and Southeast Wisconsin. Submarket boundaries have been independently defined by the Stream team to reflect local market conditions.

Brokers, researchers, and analysts collaborate to actively review industrial inventory and market activity to maintain an accurate representation of the market to the best of our ability. While reasonable efforts have been made to ensure accuracy, the information contained herein is subject to change and may contain errors or omissions.

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